

ECONOMICS PAPER 2
(Mock Test 44)
Question-Answer Book

Time allowed: 2 hours 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13, 15, 17, 19, 21, 23 and 25.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

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2. The following is a conversation between Yanny and Vincent.

Vincent: You need to repay me \$200 today.

Yanny: I don't have cash right now. Can I repay you with ten \$20 ice cream shop cash coupons instead?

Vincent: No, I only accept cash repayment. If you buy me an ice cream, I can let you to repay me next month.

Yanny: Okay. I'll buy you a cup of chocolate ice cream.

- (a) Give **TWO** reasons to explain why Vincent only accepts cash repayment and refuses to accept the cash coupons as repayment. (4 marks)
- (b) Explain why the cup of chocolate ice cream can be regarded as interest to Yanny. (2 marks)

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- This image shows a full page of a handwriting practice worksheet. It consists of multiple rows of horizontal dashed lines spaced evenly down the page, providing a guide for letter height and placement. The background is plain white, and there are no other markings or text present.

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4. Suppose the money supply of an economy continuously decreases while the quantity of goods produced remains unchanged.

Based on the quantity theory of money, would the economy experience inflation or deflation? Explain.

(4 marks)

5. (a) Explain what the opportunity cost of holding money is.

(2 marks)

- (b) If people expect inflation to occur in the economy, will the real interest rate or the nominal interest rate be higher? Explain.

(2 marks)

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6. The amount of resources in Country A is double that in Country B. Suppose both countries allocate half of their resources to producing garments and half to producing food. Their total output is shown below:

	Garments (units)	Food (units)
Country A	15	20
Country B	8	18

- (a) Explain whether Country B has
- (i) an absolute advantage
 - (ii) a comparative advantage
- in producing food. (5 marks)
- (b) Suppose the terms of trade is 2 units of food for 1 unit of garments. Calculate the gain from trade for the food-importing country if it imports 5 units of food. Show your workings. (3 marks)

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Price

S_0

D_0

P_w

0

Quantity

S_0 : Domestic supply

D_0 : Domestic demand

P_w : International price

D_0 : Domestic demand for disposable plastic tableware

Suppose the final quantity transacted of disposable plastic tableware decreases. Indicate, in Figure 1, the import volume of disposable plastic tableware with more people using takeaway services and the tariff in effect. (3 marks)

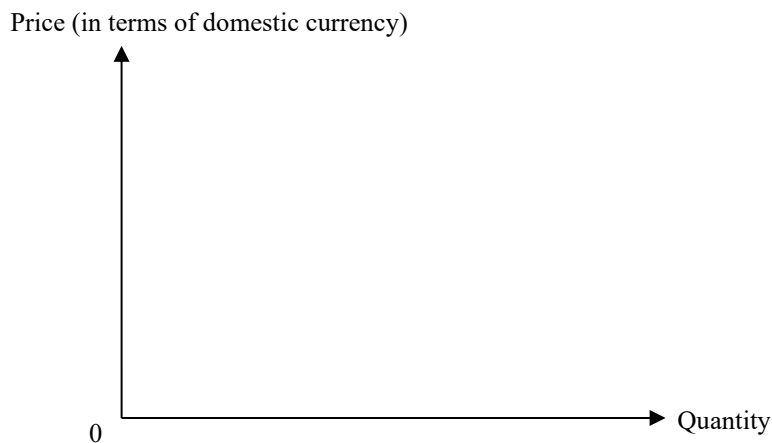
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8. A country's currency depreciates against its trading partners' currencies. With the aid of Figure 2, explain under what condition the depreciation will cause the total import value of the country (in terms of domestic currency) to increase. (7 marks)

Figure 2



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END OF SECTION A

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Section B (60 marks)

9. Happy Food House is a shop selling baked goods. Miss Lee is the sole owner of the shop. She enjoys limited liability. The shop is not required to disclose its financial information to the public. Miss Lee employs Mr. Wong to be responsible for all the operations of the shop.

(a) What is 'limited liability'? (2 marks)

(b) Name the type of business ownership of Happy Food House. Apart from liability, give **ONE** economic reason why Miss Lee operates her shop in this form of business ownership rather than as a partnership. (2 marks)

(c) Which type of factor of production do Miss Lee and Mr. Wong respectively belong to? Explain. (4 marks)

(d) Miss Lee raised Mr. Wong's monthly salary from \$25,000 to \$30,000, while the quantity of daily output of the shop remains unchanged.

Explain Miss Lee's output decision with reference to the profit-maximising condition under perfect competition. (3 marks)

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10. Read the following news report.

In November 2025, the 15th National Games of the People's Republic of China were held in Guangdong, Hong Kong and Macao. This was the first time Hong Kong participated in hosting this national sporting event. During the National Games, many events were broadcast live on local free television channels. Tickets for some popular events were sold out shortly after they went on sale.

In the first week of the National Games, a total of about 990,000 visitor arrivals were recorded in Hong Kong, of which about 720,000 were from the Mainland, representing a weekly increase of about 100,000. Some hotels were fully booked during the National Games period.

- (a) With reference to the above information, which component of Hong Kong's balance of payments would be affected by hosting the National Games? Give **ONE** example to illustrate. (2 marks)
- (b) Explain whether the live broadcasts of the events by local free television channels are public goods. (3 marks)
- (c) Some people who were unable to purchase event tickets through official channels chose to buy tickets from touts (黃牛黨) at prices higher than the official ticket price. Which function of price does the above situation illustrate? Explain your answer. (2 marks)
- (d) Some foreign short video creators came to Hong Kong to watch the National Games. They filmed videos introducing Hong Kong and posted them on social media, attracting many viewers who learned useful information. However, these viewers did not pay the short video creators. Explain why externality is **NOT** necessarily involved in the above situation. (3 marks)

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11. Suppose the government imposes a per-unit tax on the seller of every bottle of milk sold in the market.

- (a) With the aid of a diagram, explain under what condition the consumers' tax burden would be greater than the producers' tax burden. (7 marks)
- (b) A survey found that after the per-unit tax was imposed on milk, people in the country consumed relatively more large bottles of milk. Explain this phenomenon using the law of demand. (4 marks)
- (c) The following is a recruitment advertisement by a milk producer.

Position: Milk salesperson
Working hours: 10:00 a.m. to 5:00 p.m., 3 days per week
Salary: \$8,000 per month, plus commission

From the viewpoint of the milk producer, explain **ONE** advantage and **ONE** disadvantage of using the above wage payment method over time rate. (2 marks)

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12. In recent years, the HKSAR Government has been actively developing the Northern Metropolis and its surrounding areas. People are paying attention to the economic opportunities and potential impacts that this development will bring to Hong Kong.

Source A: Introduction to the Northern Metropolis

According to the Chief Executive's 2025 Policy Address, the Northern Metropolis is a strategic development area in Hong Kong with significant economic value and development potential. The Northern Metropolis is expected to provide more than 3,000 hectares of new development land. In the next five years, approximately 70,000 housing units will be completed and ready for occupation. In the future, its population is expected to account for about one-third of Hong Kong's total population.

(Source: *The Chief Executive's 2025 Policy Address*)

Source B: News report on the Smart and Green Industrial Port

The Development Bureau proposes to develop a Smart and Green Industrial Port in Tuen Mun West and Lung Kwu Tan, adjacent to the Northern Metropolis. Approximately 190 hectares of land will be created through reclamation. The Smart and Green Industrial Port is intended to develop four core industries, namely 'green/new energy', 'advanced construction', 'circular economy' and 'modern logistics/ river trade terminal'. The plan also proposes the construction of a new sea-crossing bridge to link up the Lung Kwu Tan reclamation area to handle the additional traffic flow. The project is expected to create 35,000 job opportunities.

(Source: *various newspapers*)

Source C: Information on the MTR Northern Link

The Northern Link is a major transportation infrastructure project to support the development of the Northern Metropolis. It will be built between Kwu Tung station and Kam Sheung Road station, connecting the East Rail Line and the Tuen Ma Line, forming a railway loop and shortening journey times in the Northern New Territories. The Northern Link is expected to be completed in 2034.

(Source: *various newspapers*)

Source D: Estimated government revenue and expenditure for 2025-26

Government revenue		Government expenditure	
Total revenue	\$659.4 billion	Total expenditure	\$822.3 billion
Profits tax	\$192.2 billion	Health	\$141.0 billion
Salaries tax	\$96.5 billion	Social welfare	\$139.1 billion
Stamp duties	\$67.6 billion	Infrastructure	\$119.3 billion
Investment income	\$51.8 billion	Education	\$112.4 billion
Land premium	\$21.0 billion	Security	\$69.0 billion
Other revenue	\$230.3 billion	Economic	\$61.0 billion
		Environment and food	\$53.5 billion
		Others	\$127.0 billion

(Source: *The 2025-26 Budget*)

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Source E: Views of some people on the development of the Northern Metropolis

 A current affairs commentator	The four core industries of the Smart and Green Industrial Port will help promote technological innovation. I expect that the entry of more related enterprises into the Northern Metropolis will contribute to Hong Kong's economic development.
 A resident of North District	I have some properties in North District. The development of the Northern Metropolis will have a positive impact on the price of residential property in this area.

- (a) Refer to Sources A to C. Discuss how the development of the Northern Metropolis would affect the labour mobility of Hong Kong. (4 marks)
- (b) Refer to Source D. Indicate whether the government had a surplus budget or deficit budget in 2025-26. (1 mark)
- (c) Refer to Sources A to C. With the aid of a demand-supply diagram, justify the statement made by the resident of North District in Source E. (7 marks)

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Suppose there are two suggestions to promote the development of the Northern Metropolis.

Suggestion I: to import more foreign workers for the construction projects

Suggestion II: to provide tax deductions for firms set up in the Northern Metropolis

With reference to the above sources and your own knowledge in economics, discuss the effects of each suggestion on Hong Kong, including:

- fiscal balance
- unemployment rate
- aggregate output

(14 marks)

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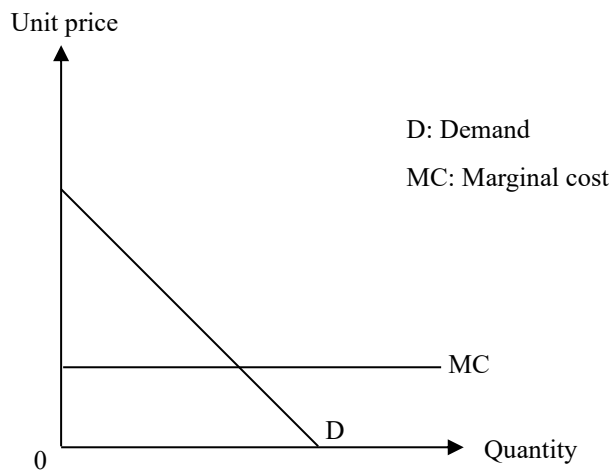
END OF SECTION B

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Section C (16 marks) Answer any **ONE** question.

13. Lok Travel is the only company in Country A that provides tour bus services.

Figure 3



- (a) Suppose Lok Travel adopts simple monopoly pricing. Indicate the profit-maximising output and price as Q_M and P_M respectively in Figure 3. (2 marks)
- (b) With the aid of Figure 3, explain why Lok Travel adopting simple monopoly pricing will cause a deadweight loss. (2 marks)
- (c) Suppose the oil price increases and the efficient output level of Lok Travel falls to Q_M in (a). With the aid of Figure 3, explain whether Lok Travel's production is efficient after the above change. (5 marks)
- (d) Lok Travel offers the following charging scheme:

Monday to Thursday: \$300 per hour Friday to Sunday: \$350 per hour
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Explain whether the pricing arrangement constitutes price discrimination. (3 marks)

- (e) Lok Travel requires customers to purchase guided tour services offered by its subsidiaries together with its tour bus services.
- (i) Name the anti-competitive behaviour that Lok Travel may engage in. State **ONE** possible harm this behaviour may cause to consumers. (2 marks)
- (ii) If the above case happened in Hong Kong, which conduct rule of the Competition Ordinance might Lok Travel violate? Explain. (2 marks)

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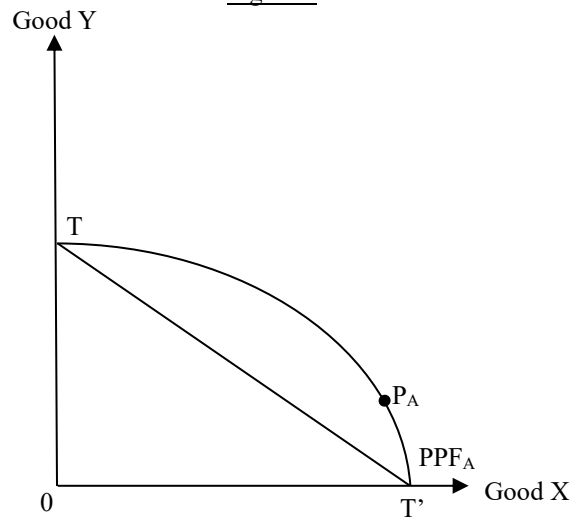
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14. Refer to Figure 4. PPF_A is the production possibility frontier of Country A. P_A is the production point of Country A under autarky. TT' is the international price line.

Figure 4



- (a) Explain why the production possibility frontier of Country A is concave to the origin. (2 marks)
- (b) Country A engages in international trade.
 - (i) Explain which good Country A has a comparative advantage in producing. (2 marks)
 - (ii) Indicate the production point of Country A after trade as P_{TA} in Figure 4. (1 mark)
- (c) Suppose Country A consumes the same quantity of good X before and after trade. In Figure 4,
 - (i) indicate the consumption possibility frontier of Country A after trade as CPF_A . (1 mark)
 - (ii) indicate the consumption point (C_{TA}), volume of exports and volume of imports of Country A after trade. (3 marks)
- (d) Suppose after Country A adopts artificial intelligence technology, its productivity for both goods increases by 50%, and its Human Development Index also rises.
 - (i) How will Country A's production possibility frontier change? (1 mark)
 - (ii) Explain whether your answer in (b)(i) will be affected by the above change in productivity. (2 marks)
 - (iii) Give **TWO** reasons to explain why adopting artificial intelligence technology may cause Country A's Human Development Index to rise. (4 marks)

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